

Note of reservation

by J F Pickering

1. I entirely agree with my colleagues that this merger situation is contrary to the public interest, notwithstanding that Stagecoach has a good record in raising the performance of its acquisitions to, at least in the short term, the benefit of the travelling public. However, I differ from my colleagues in our views as to the respective merits of the cases for structural and behavioural remedies as solutions to the particular adverse effects which we have found.

2. In my view, it is probable that if A1 Service were to be offered for sale, a buyer could be found. This would have the effect of increasing actual competition to some extent and potential competition to a greater degree in the supply of bus services and schools contracts. It would also be likely to weaken the hold which Stagecoach increasingly appears to have in this area (see paragraphs 2.83 to 2.87 and 2.97).

3. Given the nature of A1 Service's corporate structure and operations before the merger and the investments already made by Stagecoach, I accept that divestment could give rise to some short-term uncertainties and would need careful arrangements to achieve it effectively. However, these are not insuperable and interim undertakings negotiated with Stagecoach by the OFT have ensured that the A1 Service operations remained separate from those of Western Scottish while our inquiry was under way.

4. Having regard also to the initial costs of negotiating the undertakings recommended and the ongoing costs of enforcing them, I consider that divestment is preferable as a means of achieving a more competitive outcome in the local market in this case.

J F PICKERING
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